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NXP Semiconductors Credit Research



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Outlook

Leverage Falls as Cash Flow Expands NXP Cushion: Credit Outlook

Contributing Analysts Suchi Trivedi

(Bloomberg Intelligence) -- THESIS: NXP's broad-based revenue recovery, strong cash generation and improving leverage support a solid credit outlook. Revenue rose 19.5% to $3.5 billion in 2Q, with growth across every end market and region as software-defined vehicles, physical AI and data centers emerge as key growth engines. Longer term, rising semiconductor content positions NXP to benefit from a market that could reach about $1.6 trillion by 2030. Continued shareholder returns may limit liquidity buildup, but deleveraging and resilient free cash flow should support its credit profile.

NXP trades through similarly rated Dell, Intel, Oracle and HP Inc., while delivering 59 bps of year-to-date excess return over the high grade technology index. (09/25/26)

Credit Considerations

Credit Checklist

NXP's $1.6 Trillion Market Opportunity Boosts Growth Potential

Contributing Analysts Suchi Trivedi

NXP's stronger cash generation and debt reduction are improving its credit profile as operating momentum broadens. Revenue rose 19% year-over-year to $3.5 billion in 2Q, led by software-defined vehicles and physical AI, while free cash flow reached $791 million. NXP also sees a roughly $1.6 trillion global semiconductor market opportunity by 2030, supported by rising demand across compute and AI, automotive and industrial applications. First-half debt repayment of $1.25 billion helped cut gross leverage to 2.1x from 2.6x at year-end 2025. Management's 3Q guidance points to 15-21% revenue growth, supporting further deleveraging despite continued shareholder returns.

NXP shares are up about 7% year-to-date, lagging the broader technology rally. (09/25/26)

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Credit Checklist

Credit Drivers	Outlook	Outlook Trend	Weighting (%)
Earnings & Cash Flow		↔	25
Leverage & Financial Policies		↑	25
Competitive Landscape		↔	10
M&A		↔	5
Event Risk		↔	5
Stock Performance		↔	15
Debt Maturities		↔	15
Valuation		↔	N.A.

Unfavorable Neutral Favorable

Note: This reflects a qualitative analysis by a Bloomberg Intelligence Analyst and is as of the date of publication.

Bloomberg Intelligence

Source: Bloomberg Intelligence

Credit Drivers

NXP Growth Recovery, Cash Flow Strengthen as AI Appeal Lags

Contributing Analysts Suchi Trivedi

NXP's improving growth and strong cash generation should support further deleveraging while management maintains its shareholder-friendly return policy. Revenue momentum is recovering across key end-markets, though limited direct AI exposure leaves growth more dependent on auto, industrial and communications demand. Recent debt repayment has strengthened the balance sheet, and continued cash generation should support further debt reduction without materially weakening shareholder returns. (09/24/26)

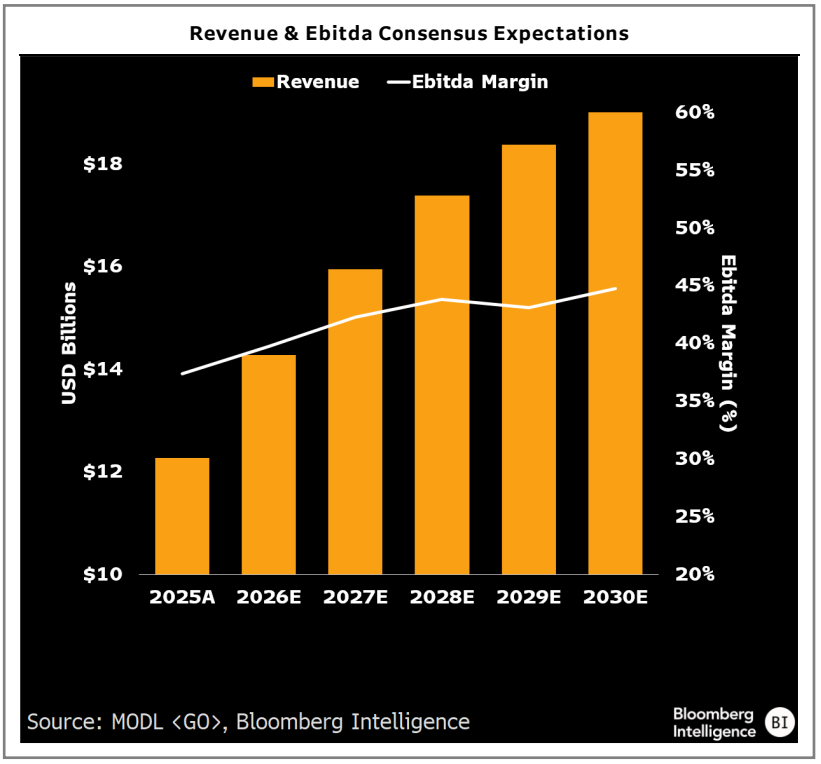
Revenue Recovery Appears on Track After Two-Year Slide

Contributing Analysts Suchi Trivedi

NXP's revenue recovery is broadening, with Automotive and Industrial & IoT providing the strongest support as demand improves and company-specific growth drivers gain traction. Consensus expects both segments to grow at double-digit rates in 2026, with Industrial & IoT rising almost 30%. Management's longer-term framework targets about $16 billion of revenue by 2027, roughly in line with consensus. Ebitda margins near 40% support strong free cash flow, while $1.25 billion of debt repayment in 1H26 helped cut gross leverage to 2.1x from 2.6x at the end of 2025. (09/23/26)

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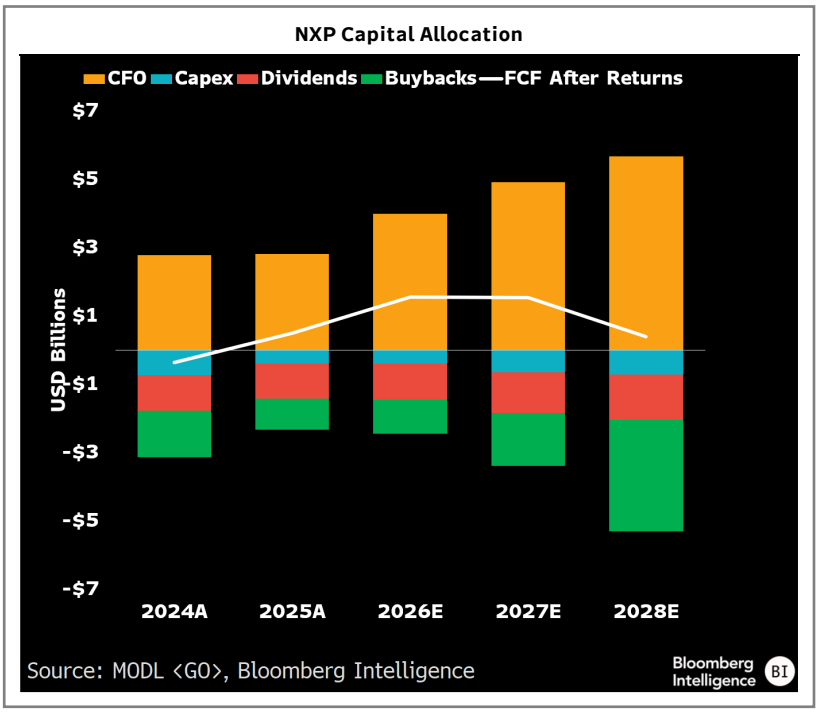
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Targeting Return of All Excess Free Cash Flow

Contributing Analysts Suchi Trivedi

NXP's policy of returning all excess free cash flow through buybacks and dividends should limit cash accumulation, though recent debt paydown shows the company can still reduce leverage. Cumulatively in 2016-1H26, NXP returned about $23.4 billion to shareholders, which was roughly 95% of free cash flow. Its dividend policy is 25% of free cash flow, with the remainder earmarked for buybacks. (09/23/26)



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Solid BBB Ratings Profile Reflect Stability

NXP's ratings are stable across all raters, and changes appear unlikely over the near-to-intermediate term. Moody's upgraded NXP to Baa2 in December following a prolonged positive outlook. Raters would like to see gross leverage of about 2x and net leverage sustained at around 1x for further upgrades to materialize, which we view as unlikely given its shareholder-return program.

A commitment to a more conservative financial policy would help ratings, yet also seems unlikely given its longstanding policy of returning 100% of free cash flow to shareholders. (09/23/26)

Click for Rater Targets and Notes

Ratings	Moody's	S&P	Fitch
Outlook	Stable	Stable	Stable
Sr. Unsecured Notes	Baa2	BBB+	BBB+
Possible Triggers:			
Upward Bias	Sustainable High-Single-Digit Revenue Growth	Adj Leverage <1x	Net Leverage Near 1x
	Maintains Gross Leverage About 2x	Commitment to More Conservative Financial Policy	CFO-Capex/Total Debt > 30%
Downward Bias	Gross Leverage Nearer 3x Sustainably	Adj Leverage > 2x	Gross Leverage > 2x
	Declining Operating Profits	Aggressive M&A	Sustained Negative Revenue Growth
Note:	Click	Click	Click

Source: Bloomberg Intelligence

Liquidity

NXP Liquidity Firm After $23 Billion of Returns Over a Decade

NXP's improving revenue growth and resilient free cash flow support its stable Baa2/BBB+/BBB+ ratings profile. Revenue rose 19% year-over-year in 2Q, while free cash flow reached $791 million, or 22.6% of sales. The $750 million April debt repayment reduced refinancing needs, and liquidity remains ample despite about $23 billion of shareholder returns over the past decade. Continued cash generation should support further deleveraging while preserving capacity for investment and shareholder returns. (09/24/26)

NXP Light Maturities, Debt Paydown Support Credit

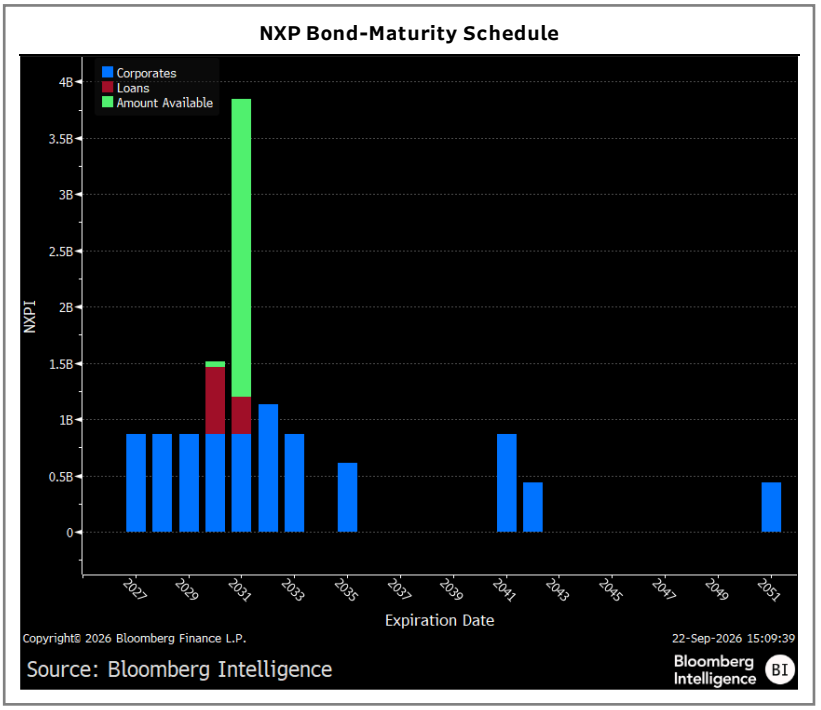
Contributing Analysts Suchi Trivedi

NXP's cost of debt remains low, with a weighted-average fixed coupon of 3.81%. Maturities are well dispersed, with less than $1 billion due annually over the next three years and a weighted-average maturity of 6.58 years. The company retains solid capital-market access after its $1.5 billion August 2025 bond issuance refinanced near-term maturities. NXP has since prioritized debt reduction, repaying $1.25 billion in 1H26, including $750 million of notes in 2Q, with no new funded debt issued during the first half.

Over the last 10 years, NXP returned more than $23 billion to its shareholders, or 95% of free cash flow, reducing the diluted share count by 27%. (09/23/26)

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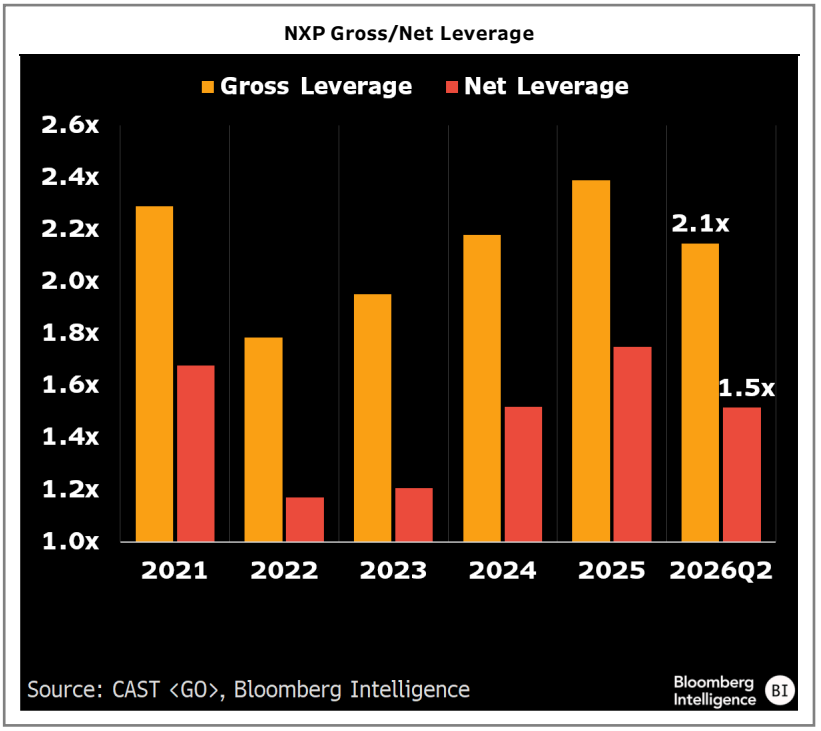
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Leverage Trends Lower on Debt Paydown

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(09/23/26)



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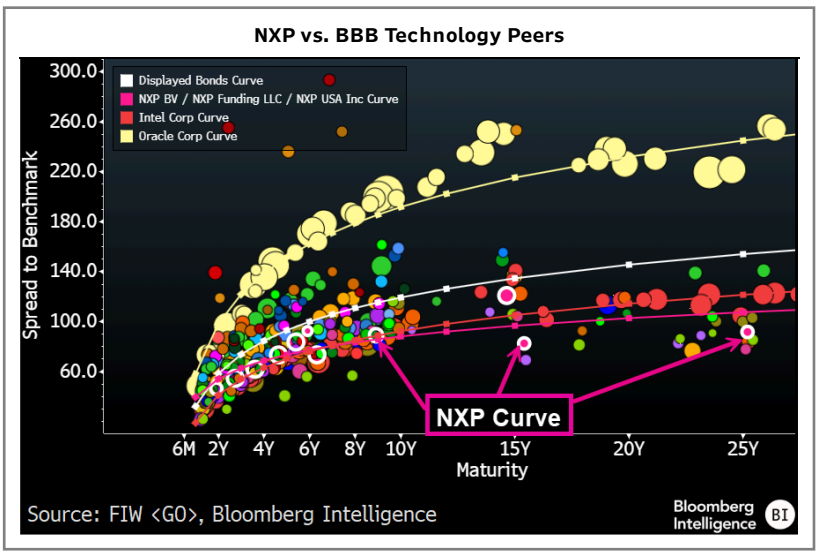
Tight Spreads Reflect Stable Credit Quality

NXP Spread-Tightening Tracks Lower Leverage, Recovery

NXP Semiconductors' improved credit profile has helped tighten spreads vs. similarly rated triple-B technology peers including Intel, Dell and Oracle. The move is increasingly supported by fundamentals, with gross leverage falling to 2.1x from 2.6x at the end of 2025, and revenue returning to growth. Elevated shareholder returns remain a consideration, though recent debt repayment and improving top-line momentum provide stronger support for current spread levels. (09/24/26)

Tight Spreads Gain Support From Credit Improvement

Further spread tightening may be limited at current levels, but NXP's improving credit trajectory reduces the risk of meaningful widening toward peers. Its bonds have generated 74 bps of excess return year-to-date, outperforming the broader IG technology index by about 59 bps, while spreads remain among the tightest among triple-B peers including Intel, Oracle and HPE. Rich valuations are increasingly supported by stronger revenue trends, resilient cash flow and continued deleveraging. (09/24/26)



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